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Report Name: Oilseeds and Products Update

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Post: New Delhi

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Report Highlights:

FAS New Delhi estimates India's rapeseed-mustard production for marketing year (MY) 2023/2024 (October-September) at 11.9 million metric tons (MMT), harvested from 9.3 million hectares following favorable cold weather during the rabi crop season. Trade for rapeseed oil remains negligible due to high domestic demand. Production of rapeseed meal is expected to be around 6.2 MMT owing to a good oilseed production year. Exports of rapeseed meal will remain relatively high for the current MY due to increased crushing. India is likely to continue importing a significant amount of discounted edible oils to meet its domestic demand for vegetable oils.

RAPESEED MUSTARD

Production

Table 1. India: Oilseed, Rapeseed, Production, Supply and Distribution

Oilseed, Rapeseed	2021/2022		2022/2023		2023/2024	
Market Year Begins	Oct 2021		Oct 2022		Oct 2023	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	8300	8300	9000	9100	9200	9250
Area Harvested (1000 HA)	7991	7991	8852	9300	9200	9300
Beginning Stocks (1000 MT)	369	369	519	419	419	750
Production (1000 MT)	11100	11000	11300	11831	11700	11900
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	11469	11369	11819	12250	12119	12650
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	9750	9750	10100	10100	10200	10400
Food Use Dom. Cons. (1000 MT)	650	650	700	700	725	800
Feed Waste Dom. Cons. (1000 MT)	550	550	600	700	620	600
Total Dom. Cons. (1000 MT)	10950	10950	11400	11500	11545	11800
Ending Stocks (1000 MT)	519	419	419	750	574	850
Total Distribution (1000 MT)	11469	11369	11819	12250	12119	12650
Yield (MT/HA)	1.3891	1.3765	1.2765	1.2722	1.2717	1.2796

Data source: OAA New Delhi historical data series. Post forecast for 2023/24; 2021/22 and 2022/23 are estimates.

Market Year 2023/24 Rapeseed Production Estimate Revised Higher

FAS New Delhi (post) estimates India's rapeseed-mustard production for MY 2023/24 (October to September) to 11.9 MT, harvested on 9.3 million hectares (MHa). The higher estimate is due to beneficial cold weather conditions for *rabi*¹ crops in Rajasthan, the major rapeseed-mustard growing state in India. Post forecasts area planted at 9.25 million hectares for MY 2023/24, slightly higher than MY 2022/23 due to an increase in sowing areas within the northeastern part of India, specifically in Chhattisgarh, West Bengal, Uttar Pradesh, and Bihar by approximately 1.6 percent. However, the area harvested remains the same at 9.3 million hectares due to a 1 percent reduction in the Rajasthan sowing area. See Picture 1.

Picture 1. India Rapeseed Mustard Field



Data source: Bharatpur, Rajasthan

A cropping pattern of rapeseed and rice as well as rapeseed and other vegetables have been observed in the parts of Rajasthan and eastern India. One of example of this is a collaboration between Assam Agricultural University and the International Rice Research Institute (IRRI), which launched a short grain rice variety with a growing period of 90 days. It is expected to be harvested during the first week of November as part of the intercropping with rapeseed mustard. This will give agency to the farmers for *rabi* sowing of both rice and rapeseed.

Picture 2. India Rapeseed Mustard Oilseed Harvested



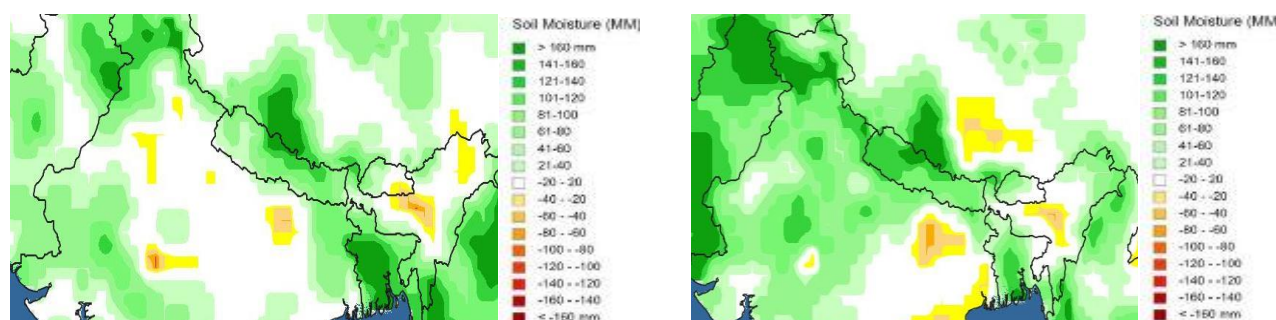
Data source: New Mandi, Bharatpur, Rajasthan

¹ Rabi crops are sown in winter and harvested in the spring in India.

According to market sources, as the local edible oils are selling at a price lower than the imported oils, a few of the farmers have diverted from rapeseed mustard to other profitable crops like garlic and onion in Rajasthan. This diversion has not impacted the production at this time. Additionally, it is unlikely there will be any land expansion or increased productivity in Rajasthan, as rapeseed mustard production has almost reached an over saturation threshold.

Post's estimates for MY 2022/23 rapeseed mustard production have been revised to 11.8 MMT, produced on 9.3 MHa. Extreme temperatures during the previous MY did not affect the production, however, reduced the oil content slightly.

Figure 1. Northern and Eastern India: Soil Moisture Departure Against Normal Conditions as on January 30, 2024 (Left figure) and January 30, 2024 (Right figure)



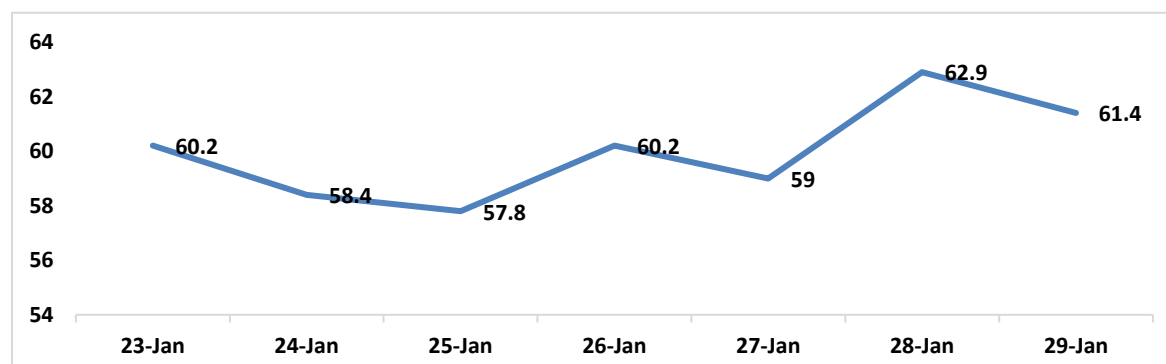
Note: Satellite data derived from NOAA Climate Prediction Center.

Data source: USDA Global Agricultural and Disaster Assessment System (GADAS).

PRICE

In October 2023, the Indian government increased Market Support Price (MSP) by 98 percent to \$68.9/quintal (INR 5,650/quintal).² However, high ending stocks from the previous MY and zero excise duty on imported oils, kept the price below MSP. In the last week of January 2023, rapeseed-mustard prices were at a range of to \$62.6 to 67.4/quintal (INR 5,200 to 5,600/quintal) in major markets. Industry sources predict that prices will stay unchanged, despite increased crushing for exporting rapeseed-mustard meal.

Figure 2. India: 23rd to 29th January 2024 Rapeseed-Mustard Average Daily Domestic Prices (\$/MT)



² See: USDA GAIN "India: A Minimum Support Price Hike for Rabi Crops for Marketing Year 2024 to 2025", [IN2023-0048](#).

For purposes of this report, \$1 USD = Indian rupee (INR) 83

Note: All prices ex-Jaipur (Rajasthan) market.
Data source: OAA New Delhi historical data series.

RAPSEED OIL

PRODUCTION

Table 2. India: Oil, Rapeseed, Production, Supply and Distribution

Oil, Rapeseed	2021/2022		2022/2023		2023/2024	
Market Year Begins	Oct 2021		Oct 2022		Oct 2023	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	9750	9750	10100	10100	10200	10400
Extr. Rate, 999.9999 (PERCENT)	0.38	0.38	0.3802	0.3802	0.3804	0.3798
Beginning Stocks (1000 MT)	295	295	247	247	402	400
Production (1000 MT)	3705	3705	3840	3840	3880	3950
MY Imports (1000 MT)	34	34	6	6	5	5
Total Supply (1000 MT)	4034	4034	4093	4093	4287	4355
MY Exports (1000 MT)	7	7	11	11	10	15
Industrial Dom. Cons. (1000 MT)	80	80	80	80	80	100
Food Use Dom. Cons. (1000 MT)	3700	3700	3600	3602	3800	3900
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	3780	3780	3680	3682	3880	4000
Ending Stocks (1000 MT)	247	247	402	400	397	340
Total Distribution (1000 MT)	4034	4034	4093	4093	4287	4355

Data source: OAA New Delhi historical data series. Post forecast for 2023/24; 2021/22 and 2022/23 are estimates.

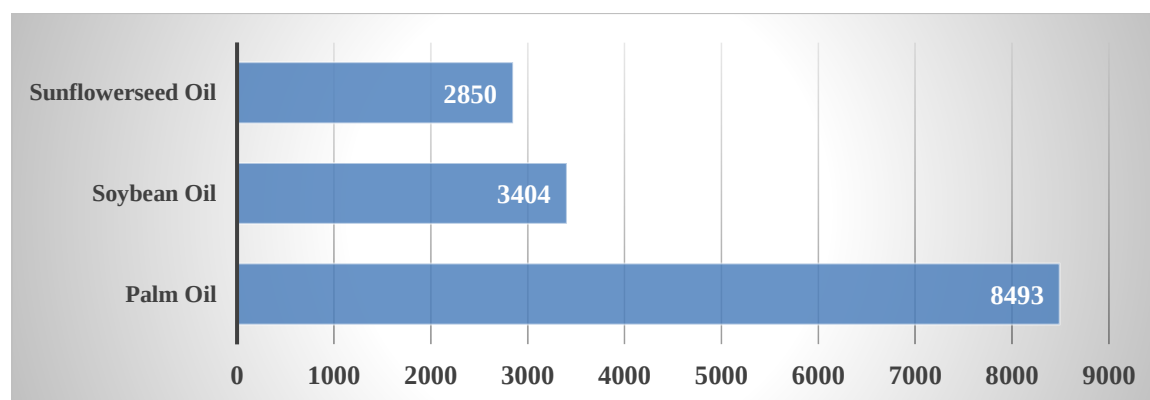
India is forecast to produce 3.9 MMT of rapeseed oil in MY 2023/2024, higher than previous MY due to a good production year. Approximately 1 MMT of rapeseed oilseeds is used for crushing and oil extraction in organized sector, and the rest in unorganized sector for domestic

consumption. Trade is minimal for rapeseed mustard oil due to its pungency and increased demand for mustard oil in domestic market.

Edible Oil Trade

India is likely to continue importing discounted sunflower and palm oil for the rest of the MY. In December 2023, India's sunflower oil imports reached almost 261 MMT, soybean oil was at 153 MMT, and palm oil at 886 MMT. According to market sources, the import of sunflower from Black Sea Region can raise the freight cost, which already resulted in an increased port landing cost for sunflower oil in the last month.

Figure 3. India: January to November 2023 Import of Edible Oil (MMT)



Data source: OAA New Delhi historical data series; Trade Data Monitor

RAPSEED MEAL

Table 3. India: Oil meal, Rapeseed, Production, Supply and Distribution

Meal, Rapeseed	2021/2022		2022/2023		2023/2024	
Market Year Begins	Oct 2021		Oct 2022		Oct 2023	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	9750	9750	10100	10100	10200	10400
Extr. Rate, 999.9999 (PERCENT)	0.5957	0.5957	0.5955	0.6089	0.5951	0.5913
Beginning Stocks (1000 MT)	223	223	450	447	197	179
Production (1000 MT)	5808	5808	6015	6150	6070	6150
MY Imports (1000 MT)	1	1	2	2	0	5

Total Supply (1000 MT)	6032	6032	6467	6599	6267	6334
MY Exports (1000 MT)	1207	1210	1920	1920	1100	1900
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	4375	4375	4350	4500	4750	4300
Total Dom. Cons. (1000 MT)	4375	4375	4350	4500	4750	4300
Ending Stocks (1000 MT)	450	447	197	179	417	134
Total Distribution (1000 MT)	6032	6032	6467	6599	6267	6334

Data source: OAA New Delhi historical data series. Post forecast for 2023/24; 2021/22 and 2022/23 are estimates.

Post estimates India's rapeseed meal production to rise by 1 percent to 6.2 MMT in MY 2023/2024 due to significant carryover stocks coupled with a large new crop. The abundant availability of rapeseed meal and favorable pricing have led to an increase in crushing from the previous MY. India's rapeseed meal exports increased by 38 percent from January to November 2023 compared to the corresponding period. Thailand, South Korea, Bangladesh, and Vietnam remains the top importers of Indian rapeseed meal in MY 2022/2023. Exports are expected to remain elevated for the current MY due to increased crushing of rapeseed meal.

Attachments:

No Attachments